

IDC Worldwide Cloud Spending Forecast 2024-2028

Source: IDC Worldwide Quarterly Cloud Services Tracker, Q1 2025

Executive Summary

IDC projects worldwide spending on cloud services will reach **\$372 billion in 2025**, representing an 18.7% CAGR from 2024 through 2028. By 2028, total cloud spending is forecast to exceed **\$625 billion**. AI infrastructure and platform services are the fastest-growing category at 38% CAGR.

Market Forecast by Segment (Billion USD)

Segment	2024	2025F	2026F	2027F	2028F	CAGR
IaaS	\$108.0	\$138.0	\$170.0	\$205.0	\$240.0	22.1%
PaaS	\$64.0	\$72.0	\$82.0	\$93.0	\$105.0	13.2%
SaaS Applications	\$143.0	\$162.0	\$183.0	\$206.0	\$230.0	12.6%
AI Cloud Services	\$25.0	\$35.0	\$50.0	\$68.0	\$90.0	38.0%
Total	\$315.0	\$372.0	\$437.0	\$516.0	\$625.0	18.7%

Key Findings

- AI-driven cloud services projected to reach \$90B by 2028, becoming the 3rd largest segment.
- Hyperscaler dominance: top 3 providers (AWS, Azure, GCP) command 67% of IaaS+PaaS market.
- SaaS market maturity: growth decelerating from 17% (2023) to 12.6% CAGR.
- Edge computing + cloud synergy: 40% of new cloud deployments include edge components.

Data Confidence

[Data] — All figures sourced from IDC Worldwide Quarterly Cloud Services Tracker. Forecasts are IDC projections based on vendor revenue reporting and buyer surveys (n=2,800+). Published: Q1 2025.